Affordable Housing Deliveries Are Shrinking, But Still Above Pre-2020 Levels

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THE NEWS

Yardi Matrix Reports Affordable Housing Deliveries Are Declining

New supply of affordable units is shrinking from recent peaks. But here's the nuance: deliveries remain above the 2017-2019 average. The headline is about trajectory, not collapse.

SIGNIFICANCE

The Real Story Is the Gap Between Peaks and Baselines

A useful way to think about this is: we're not returning to pre-2020 scarcity. We're settling into a new normal that's higher than the old normal. That's a capital markets signal worth watching.

CAPITAL MARKETS ANGLE

Pipeline Sustainability Matters More Than Peak Volume

The simple version is: construction financing is harder to get now. Higher rates and tighter underwriting mean fewer projects break ground. The decline in deliveries reflects capital constraints, not weak demand for affordable housing.

THE REAL QUESTION

Is the Pipeline Adjusting or Breaking?

What we're watching is whether the current delivery level is sustainable. If it stabilizes here, that's one story. If it keeps falling toward pre-2020 levels, that's another. The difference matters for rent growth and subsidy planning.

WHO CARES?

Three Groups Watching This Closely

* Sponsors: Need to time starts when construction debt is available
* Lenders: Assessing portfolio exposure to affordable projects
* Policymakers: Allocating LIHTC and subsidy dollars against a shifting supply baseline

MARKET CONTEXT

Affordable Housing Is Not Immune to Capital Market Cycles

Even with strong demographic demand and government support, affordable development follows the same capital availability patterns as market-rate. The difference is the floor is higher-but the ceiling is lower.

FORWARD LENS

Watch Permit Data and Construction Starts, Not Just Deliveries

Deliveries are backward-looking. Permits and starts tell you where the pipeline is heading. If those continue to decline, the gap between current deliveries and pre-2020 levels will close faster than expected.

THE LESSON

Baselines Shift. The Question Is Where the New One Settles.

Affordable housing supply is adjusting to a higher cost of capital. Understanding that adjustment-not reacting to monthly data-is what separates informed strategy from noise.

Light Tower Group helps sponsors and lenders navigate these capital market transitions. Connect with Benjamin Rohr for capital strategy and placement.